

EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure
Large Cap (>\$200B) · Report Date: June 12, 2026
Latest financials: Q2 FY2025 · Model data as of 2026-06-12

BUY

Blended Target: \$520.04

DCF + Comps + Analyst (see cross-check table)

Implied upside: +34.2%

Price (Jun): \$387.64

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$520.04 (+34.2% vs \$387.64); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **BUY** rating; blended target \$520.04. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.88T	Shares Out.	7428.4M
52-Week Range	\$356.28 – \$555.45	P/E (TTM)	23.1x
P/B	6.9x	Beta	1.10
Avg Volume	35.00M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$318.27B	Rev Growth	+18.3%
Op. Margin	46.3%	FCF (TTM)	\$71.61B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	245,122	281,724	333,279	378,472	417,235
Revenue Growth (%)	N/A	14.9%	18.3%	13.6%	10.2%
Net Income (\$M)	88,136	101,832	120,467	136,803	150,814
Net Income Growth (%)	N/A	15.5%	18.3%	13.6%	10.2%
Gross Margin (%)	69.8%	68.8%	68.3%	68.3%	68.3%
Net Margin (%)	36.0%	36.1%	36.1%	36.1%	36.1%
ROE (%)	32.8%	29.6%	35.1%	36.1%	37.9%
EPS (\$)	11.86	13.71	16.22	18.42	20.30
Book Value / Share (\$)	36.14	46.24	46.24	50.98	53.53
P/E (x)	32.67	28.28	23.90	21.05	19.09
P/B (x)	10.73	8.38	8.38	7.60	7.24
Dividend Yield (%)	93.0%	93.0%	93.0%	93.0%	93.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$215.60	-44.4%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — P/E (peer median)	\$493.72	+27.4%	—	Peer median P/E 29.4x
Comps — EV/EBITDA (peer median)	\$505.72	+30.5%	—	Peer median 23.6x
Comps — P/S (peer median)	\$390.31	+0.7%	—	Peer median P/S 9.1x
Comps — Blended (avg. of available multiples)	\$493.72	+27.4%	61%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	\$561.39	+44.8%	39%	Included in blend
Blended target (weighted)	\$520.04	+34.2%	100%	Comps 61% + Analyst 39%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.07%
Terminal g	4.00%
FCFE growth	9.15%
Base FCFE	\$71.61B
PV explicit (5Y)	\$366.36B
PV terminal	\$1.24T
Equity value (adj.)	\$1.60T
Implied price	\$215.60
vs. current	-44.4%

INDUSTRY ANALYSIS

1. Industry Overview

Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers Microsoft 365 commercial, enterprise mobility + security, windows commercial, power BI, exchange, sharepoint, Microsoft teams, security and compliance, and copilot; Microsoft 365 commercial products, such as Windows commercial on-premises and...

2. Key Trends

- Strong top-line growth (18.3% YoY)
- High operating leverage (46.3% margin)
- Sector: Technology | Industry: Software - Infrastructure

3. Risk Factors

- Standard sector cyclicality and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
GOOGL	Alphabet Inc.	\$4.40T	27.6x	26.7x	37.9%	+21.8%
META	Meta Platforms, Inc.	\$1.45T	20.7x	13.3x	32.8%	+33.1%
NVDA	NVIDIA Corporation	\$4.96T	31.3x	29.7x	63.0%	+85.2%
ORCL	Oracle Corporation	\$525.11B	31.3x	20.6x	25.4%	+20.6%
MSFT*	Microsoft Corporation	\$2.88T	23.1x	16.0x	39.3%	+18.3%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.